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Poor liquidity, political turmoil hamper South Korean VC

By Leah Hodgson

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South Korea's VC market has had a tough start to the year as economic uncertainty and political turmoil cast a shadow over Q1 dealmaking.

According to PitchBook's [Q1 2025 South Korea Market Snapshot](#), around \$600 million was invested across 254 deals in the first three months of the year. Deal value is down nearly 65% from Q4, while the number of rounds fell 21.8% over the same period.

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South Korea saw its worst quarter for VC funding in Q1 since before the pandemic

Late-stage deals are a safe haven for more cautious investors

The absence of liquidity has put pressure on the country's VC market, while a wider economic stagnation—exacerbated by former President Yoon Suk Yeol's failed attempt to put the country under martial law in December 2024—has contributed to chilling investor sentiment.

Capital is also more concentrated. Late-stage rounds still account for the majority of South Korea's total deal value at 60% in Q1, as investors take a more cautious approach to investments. According to the report, it also reflects a diminishing pipeline of early-stage opportunities.

According to South Korea's Ministry of SMEs and Startups, the country had around 1.2 million startups as of last year, down 4.5% from the previous year.

Competition in high-growth sectors such as ecommerce and mobility has intensified as South Korean startups mature. It's becoming harder for new startups to find a unique angle with enough space to grow in these sectors.

Additionally, the baseline for innovation is much higher in today's startup climate due to rapid technological advancements in areas such as AI and robotics.

South Korea's government has been implementing measures to support the country's startups. In April, the Ministry of SMEs and Startups [launched a new fund](#) to revitalize the ecosystem. It is seeking around 600 billion won (around \$420 million) from public and private sources.

Also, the government teamed up this year with US VC firms [Patron Management](#), [Third Prime Capital](#) and [ACVC Partners](#) for a \$200 million cross-border startup fund.

Featured image by EyeEm Mobile GmbH/Getty Images

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About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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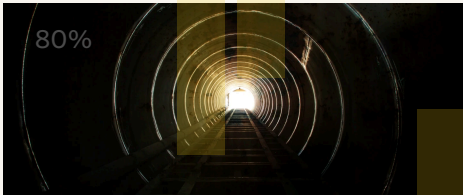
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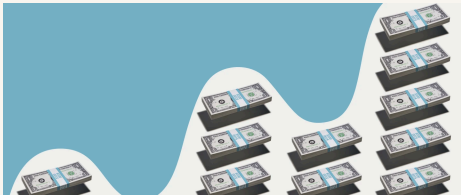
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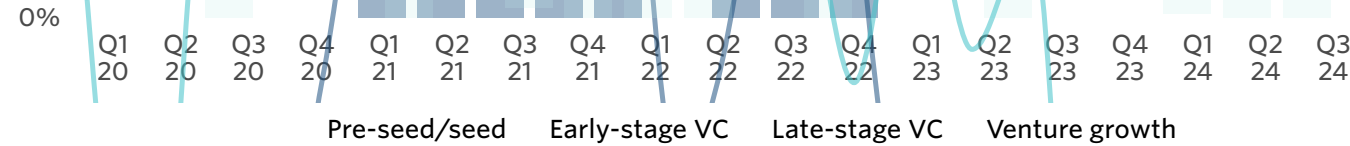


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